

the Head of the Department and such permission should not be given unless there are any special reasons for doing so.

(E(G) 6 EM 1-2 dt. 26-3-66.)

15-A. Sub-letting and vacation of Government accommodation.

(1) Save as otherwise provided in any other law for the time being in force, no Railway servant shall sub-let, lease or otherwise allow occupation by any other person of government accommodation which has been allotted to him.

(2) A Railway servant shall, after the cancellation of his allotment of Government accommodation vacate the same within the time-limit prescribed by the allotting authority.

(Authority: Railway Board's letter No. E (D&A) 96 GS1-8 dt. 17.01.1997.)

16. Investment, lending and borrowing. —(1) No Railway Servant shall speculate in any stock, share or other investment:

Provided that nothing in this sub0rul shall apply to occasional investments made through stock brokers or other persons duly authorized and licensed or who have obtained a certificate of registration under the relevant law.

Explanation – Frequent purchase or sale or both, of shares, securities or other investments shall be deemed to be speculation within the meaning of this sub-rule.

(2) (i) No Railway servant shall make, or permit any member of his family or any person acting on his behalf to make, any investment which is likely to embarrass or influence him in the discharge of his official duties. For this purpose, any purchase of shares out of the quotas reserved for Directors of Companies or their friends and associates shall be deemed to be an investment which is likely to embarrass the Railway servant.

(Authority: Railway Board's letter No. E (D&A) 96 GS 1-8 dt. 17.01.1997.)

(2) (ii) No Railway servant who is involved in the decision making process of fixation of price of an Initial Public Offering or Follow-up Public Offering of shares of a Central Public Sector Enterprise shall apply, either himself or through any member of his family or through any other person acting on his behalf, for allotment of shares in the Initial Public Offerings or Follow-up Public Offerings of such Central Public Sector Enterprise".(Authority: Railway Board's letter No.E(D&A) 2009/GS1-4 dated 14-07-09)—**acs no.108**

(3) If any question arises whether any transaction is of the nature referred to in sub-rule (1) or sub-rule (2), the decision of the government thereon shall be final.

(4) (i) No railway servant shall, save in the ordinary course of business with a bank or a public limited company either himself or through any member of his family or any other person acting on his behalf—

(a) Lend or borrow or deposit money, as a principal or an agent, to or from or with, any person or firm or private limited company with whom he is likely to have official dealings or otherwise place himself under pecuniary obligation to such person or firm or private limited company; or

(b) lend money to any person at interest or in a manner whereby return in money or in kind is charged or paid.

Provided that a railway servant may give to, or accept from, a relative or a personal friend, a purely temporary loan of a small amount free of interest, or operate a credit account with a bonafide tradesman or make an advance or pay to his private employee.

Provided further that nothing in this sub-rule shall apply in respect of any transaction entered into by a railway servant with the previous sanction of the Government.

(ii) When a railway servant is appointed or transferred to a post of such nature as would involve him in the breach of any of the provisions of sub-rule (2) or sub-rule (4), he shall forthwith report the circumstances to the competent authority and shall thereafter act in accordance with such order as may be made by such authority.

Railway Ministry's decision. —Loan taken from LIC by the Railway servant against their Insurance policies will be covered by the exception provided in the above rule and permission of the Government will not be necessary.

(E (D&A) 68 GSI/21 dt. 21-11-1968.)

17. Insolvency and Habitual indebtedness. --- (1) A railway servant shall so manage his private affairs as to avoid habitual indebtedness or insolvency. A railway servant against whom any legal proceeding is instituted for the recovery of any debt due from him or for adjudging him as an insolvent shall forthwith report the full facts of the legal proceeding to the Government.

Note.---- The burden of proving that the insolvency or indebtedness was the result of circumstances which, with the exercise of ordinary diligence, the railway servant could not have foreseen, or over which he had no control and had not proceeded from extravagant or dissipated habits, shall be upon the railway servant.

(2) The following procedure shall be followed in the case of non-gazetted railway servants: -

(i) The report required under sub-rule (1) above shall be submitted by the railway servant to his immediate superior who should forward it through the normal channel to the authority competent to remove or dismiss the employee from service. Except where such authority requires guidance or clarification from a higher authority, it shall consider and pass appropriate orders thereon. A railway servant desiring to seek the benefit of the Insolvency Act shall apply to the Head of his Department, or to such authority as the government may specify in this behalf, for permission to file a Schedule in a Court of Law. Same time, he shall explain in such form as the Government may prescribe in this behalf all the circumstances which led to his financial embarrassment. The said authority will then consider his case in the light of those circumstances.

If the railway servant can prove that the indebtedness was the result of circumstances, which, with the exercise of ordinary diligence, he could not have foreseen or over which he had no control, and did not proceed from extravagant or dissipated habits and if as the result of investigation, the said authority considers that sufficient justification exists for the retention of the employee in service, he may permit him to have recourse to the court.